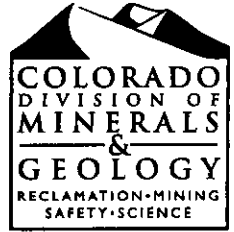


STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY

Department of Natural Resources

1313 Sherman St., Room 215
Denver, Colorado 80203
Phone: (303) 866-3567
FAX: (303) 832-8106



Bill Owens
Governor

Greg E. Walcher
Executive Director

Ronald W. Cattany
Division Director
Natural Resource Trustee

June 4, 2003

Mr. Richard Cargill
St. Vrain Valley Community Watchdogs
P.O. Box 82
Hygiene, CO 80533

RE: CEMEX, Inc., Lyons Mine, Permit No. M-1977-208
Response to 5/9/03 Letter on Dust Emission

Dear Mr. Cargill,

The Division of Minerals & Geology (Division or DMG) received your letter on May 9, 2003 regarding fugitive emissions as a result of the cement kiln dust (CKD) at the CEMEX Inc., Lyons Mine, Permit No. M-1977-208.

A copy of your letter was sent to CEMEX Inc., for their explanation on the events of May 4, 2003. CEMEX sent the Division a letter dated May 6, 2003 addressed to Ms. Pamela Milmoie of the Boulder County Health Department. The letter documents the nature and time of the complaints that occurred on May 4, 2003. A copy of the letter is attached for your information.

Based on the conversation with Steve Mossberg of CEMEX regarding the events of May 4, 2003 and the letter to the Boulder County Health Department, the Division is unable to cite a procedural error in the handling of CKD at the site. In addition, the Division does not have the authority to regulate fugitive emissions under the Colorado Land Reclamation Act for the Extraction of Construction Materials or the Construction Material Rules and Regulations. Such activity is generally regulated by the County Health Department and the Colorado Department of Public Health and the Environment; Air Pollution Control Division. The DMG ensures the proper disposal of CKD in terms of groundwater protection, closure for final reclamation and what needs to be incorporated into the reclamation cost estimate.

If you have any questions, please do not hesitate to contact me at 303-866-4943.

Sincerely,

Erica S. Crosby
Environmental Protection Specialist

Enclosure (copy of letter from CEMEX to Boulder County Health Department)

cc: Steve Mossberg; CEMEX, Inc.
Pamela Milmoie; Boulder County Health Department



May 6, 2003

Ms. Pamela Milmoec
Boulder County Health Department
Environmental Health
3450 Broadway
Boulder, CO 80304-1824

RECEIVED

MAY 21 2003

Division of Minerals & Geology

RE: Dust Complaint Investigation

Dear Ms. Milmoec:

On Sunday, May 4, 2003 Richard Cargill called the plant on three different occasions to report dust complaints. On each occasion the wind was gusting over 30 mph. The wind pattern was irregular with periods of calm between gusts.

The first complaint call came in at 12:35 p.m. Mr. Cargill described a plume that dissipated very rapidly and wanted to know if we were having problems. At this time the wind was gusting to 32 mph and plant personnel were unable to identify any dust plumes.

The second complaint was called into the plant at 4:46 p.m. Mr. Cargill said he thought the dust was coming from the plant. Our shift supervisor found that the dust was coming from the berms around the CKD pit. The loader operator was placing some dust in a berm so it could be better watered. The wind gusted to 35 mph during this operation. The supervisor stopped the operation and proceeded to water the pit.

The third complaint was called in at 6:24 p.m. Mr. Cargill stated that the dust was so bad he could not see the plant from his house. The control room operator could not see any dust using the site camera. Our supervisor immediately drove to the south end of the plant to a position between the plant and Mr. Cargill's house. He could not see any emissions from the plant or the pit. Our supervisor had our control room operator call Mr. Cargill back in order to better identify the source of the dust. Mr. Cargill stated that the dusting had stopped. At this time the winds were gusting up to 40 mph. Our shift supervisor continued to try and identify any source of fugitive dust until 7:00 p.m. and found there to be no further visible emissions.

During the period of time from noon until 7:00 p.m. our crew put down nine loads of water.

Sincerely,

A handwritten signature in dark ink, appearing to read "Steve Mossberg".
Steve Mossberg
Compliance Manager